MERIDIAN & ASSOCIATES LLP

Audit & Assurance Practice

Audit Engagement Transition Plan

90-Day Roadmap for Predecessor Firm Transitions

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1. Purpose and Scope

This document establishes the standard framework for transitioning audit engagements from a predecessor firm to Meridian & Associates LLP. It is applicable to all SEC registrant and non-registrant audit transitions and is designed to ensure compliance with PCAOB AS 2610 (Initial Audits -- Communications Between Predecessor and Successor Auditors), SEC Rule 2-01 of Regulation S-X, and the firm's internal quality control standards.

The 90-day roadmap is structured around four distinct phases, each with defined milestones, deliverables, responsible parties, and quality checkpoints. All transitions must be overseen by a National Office-approved engagement partner with a minimum of 15 years of relevant industry experience.

2. Phase I: Pre-Transition (Days 1-15)

2.1 Predecessor Communications

The engagement partner initiates formal communication with the predecessor auditor within 48 hours of engagement acceptance. In accordance with PCAOB AS 2610.05, the successor auditor must make specific and reasonable inquiries of the predecessor regarding:

- Information that might bear on the integrity of management, including fraud or illegal acts.
- Disagreements with management about accounting principles, audit procedures, or similarly significant matters.
- Communications to those charged with governance regarding fraud, illegal acts, and internal control-related matters.
- The predecessor's understanding of the reasons for the change in auditors.
- Significant findings or issues arising during the most recent audit, including critical audit matters.

2.2 Regulatory Notifications

For SEC registrants, the firm ensures timely compliance with the following regulatory requirements:

- SEC Form 8-K Item 4.01 filing review: Confirm the registrant files within four business days of the auditor change, disclosing any reportable events or disagreements per Item 304(a) of Regulation S-K.
- PCAOB Form AP notification: Prepare engagement-level information for timely reporting once fieldwork commences.
- State board of accountancy notifications where required by jurisdiction.
- Notification to relevant professional liability insurance carriers regarding the new engagement.

2.3 Engagement Acceptance and Risk Assessment

Prior to finalizing the transition timeline, the following acceptance procedures are completed under the supervision of the Regional Assurance Leader and the National Risk Management Partner:

- Client background investigation using the firm's proprietary MeridianCheck platform, including litigation history, regulatory sanctions, credit analysis, and media screening.
- Independence assessment across all member firms, subsidiaries, and affiliates, covering financial interests, business relationships, and employment of former firm personnel.
- Preliminary fee estimate based on risk profile, entity complexity, geographic scope, and specialist resource requirements.
- Engagement team conflict-of-interest screening through the Global Independence Compliance System (GICS).
- Anti-money laundering (AML) and Know Your Client (KYC) procedures for all engagement entities.

3. Phase II: Planning (Days 16-45)

3.1 Risk Assessment and Audit Strategy

The engagement team conducts a comprehensive risk assessment in accordance with PCAOB AS 2110 (Identifying and Assessing

Risks of Material Misstatement). This includes obtaining an understanding of the entity's industry, regulatory environment, business operations, financial reporting framework, and internal control over financial reporting.

Materiality thresholds are established in line with the firm's standard methodology: overall materiality at 5% of pre-tax income (or appropriate benchmark for the entity), performance materiality at 75% of overall materiality, and a de minimis threshold at 5% of overall materiality for evaluating identified misstatements.

3.2 Team Mobilization

The engagement partner, in consultation with the Regional Resource Manager, assembles the engagement team based on the following criteria:

- Lead engagement partner: Minimum 15 years of experience, relevant industry specialization, prior transition experience required.
- Engagement quality reviewer (EQR): Independent partner with SEC registrant experience, appointed by the National Quality Board.
- Senior manager(s): Minimum 8 years of experience with at least 3 years in the client's industry vertical.
- IT audit specialists: CISA or CISSP certified, experienced with the client's ERP platform.
- Valuation, tax, actuarial, and forensic specialists: Assigned based on preliminary risk assessment results.

3.3 System Access and Data Migration

The IT integration team coordinates secure access to the client's systems and migrates prior-year audit documentation from the predecessor's working paper platform to MeridianAudit Suite. All data transfers comply with the firm's Information Security Policy (ISP-2025-003) and applicable data privacy regulations, including GDPR where relevant.

4. Phase III: Execution (Days 46-75)

4.1 Opening Balance Verification

In accordance with PCAOB AS 2610.10-.11 (Initial Audits -- Opening Balances), the engagement team performs sufficient procedures on opening balances to obtain reasonable assurance that:

- Opening balances do not contain misstatements that materially affect the current period's financial statements.
- Appropriate accounting policies reflected in the opening balances have been consistently applied in the current period, or changes are properly accounted for and adequately disclosed.
- Prior-period closing balances have been correctly brought forward, or, where appropriate, restated.

4.2 Interim Testing Procedures

The team executes interim substantive and controls testing procedures. Particular emphasis is placed on areas identified during the risk assessment as higher risk in a first-year engagement, including revenue recognition (ASC 606), management estimates (ASC 820/ASC 350), and related party transactions. Journal entry testing covers 100% of entries using MeridianAI Analyze, as described in the firm's Technology Integration Framework.

5. Phase IV: Close-Out (Days 76-90)

5.1 Management Letter and Communication

The engagement partner prepares a comprehensive management letter addressing internal control observations, including significant deficiencies and material weaknesses identified during the transition audit. The letter follows the firm's standard template (Form MA-ML-001) and is reviewed by the EQR prior to issuance.

5.2 Audit Committee Presentation

A formal presentation to the audit committee (or those charged with governance) covers: the transition process summary, significant audit findings, critical audit matters, independence confirmation, required communications under PCAOB AS 1301, and the planned approach for the ongoing engagement relationship. The presentation deck follows the firm's standard template and is reviewed by the National Office prior to delivery.

5.3 GANTT-Style Milestone Summary

The following summarizes key milestones and responsible parties across the 90-day plan:

Timeline	Milestone	Responsible Party
Days 1-3	Engagement letter execution	Engagement Partner
Days 1-5	Predecessor auditor inquiry letter sent	Engagement Partner
Days 3-10	Independence clearance completed	Independence Office
Days 5-12	Predecessor work paper access obtained	Senior Manager
Days 10-15	SEC/PCAOB notification review	National Office
Days 16-25	Risk assessment and materiality setting	Engagement Partner
Days 20-30	Team mobilization and onboarding	Resource Manager
Days 25-40	System access and data migration	IT Audit Lead
Days 30-45	Audit strategy memorandum finalized	Engagement Partner
Days 46-55	Opening balance verification	Senior Manager
Days 50-70	Interim substantive testing	Engagement Team
Days 55-75	Controls testing (ICFR)	IT Audit / Senior Manager
Days 76-82	Management letter drafting	Engagement Partner
Days 80-88	EQR review completed	Quality Reviewer
Days 85-90	Audit committee presentation	Engagement Partner